



ENCAP INVESTMENTS L.P.

Dear EnCap Limited Partner:

As we close out the summer and with our Investor Conference less than ten weeks away, we wanted to send an update to highlight some recent activity. It has been an active year of new commitments, acquisitions, and distributions across the portfolio. Our develop and distribute model continues to perform, and our funds have experienced significant valuation uplifts since our last conference. We look forward to discussing these positive developments, along with the tremendous opportunity set in the upstream sector, in greater detail at our conference. We hope to see you on November 7th and 8th in Houston.

- **Robust Distribution Activity:** Distributions from our upstream funds totaled more than \$5.3 billion over the last 12 months. This represents the highest level of annual distributions in the history of EnCap. Importantly, recurring operational distributions from free cash flow continue to accelerate as more of our portfolio companies mature. We expect ~82% of our active portfolio companies to be in distribution mode next year resulting in a cash yield on equity of approximately 15%, not including any strategic asset sales.
- **Healthy Portfolio:** The steps we took in 2020 and 2021 positioned our portfolio for success. Our streamlined portfolio companies have assembled top-tier drilling inventory while maintaining healthy balance sheets, allowing us to be an aggressive developer in the core of the most economic basins. We are currently running more than 35 operated rigs, which on an aggregated basis makes us the most active driller in the U.S. Despite service cost inflation, we are generating extremely compelling returns. The efficient conversion of drilling locations into production, combined with improved commodity prices, has translated into increased distributions and significant valuation uplifts across our portfolio.
- **Compelling Opportunity Set:** Limited capital availability to the upstream sector has put EnCap in a unique position to create value for our Limited Partners. EnCap portfolio companies have closed on over \$3.0 billion of acquisitions since the beginning of 2021, and we believe these companies are positioned to outperform our target returns. We are still in the early stages of an attractive investment cycle and are currently reviewing several acquisitions. EnCap remains well positioned to capture these compelling M&A opportunities.
- **New Commitment Activity:** Over the last year, EnCap made five new commitments totaling \$2.4 billion to some of the most talented teams in the industry. The most notable commitment was to the Double Eagle team, who has an outstanding track record of success in the Permian basin, realizing more than a 3.0x ROI on \$10.0 billion of asset sales. In less than six months, Double Eagle has invested \$430.0 million aggregating land and minerals in the core of the Permian Basin and is currently developing its' properties with a two rig program, proving that a lease and drill strategy is still viable for select teams.
- **Upstream Fund XII Launch:** With the recent commitment and investment activity, Fund XI is now fully committed and ~60% invested. Given the compelling opportunity set in front of us and the commitment status of Fund XI, we anticipate launching Fund XII in January 2023.

- **Commitment to ESG:** Environmental, Social and Governance (“ESG”) considerations remain a high priority for EnCap and our portfolio companies. We are excited to share this year’s sustainability report which highlights the ongoing progress we and our portfolio companies have made. The report can be found in the ESG folder on our password protected Sungard reporting system, which can be accessed [HERE](#). In this report, we discuss energy’s critical role in global growth and our continued ESG progress. EnCap remains committed to being a best-in-class partner for all our stakeholders, and we hope this report is informative and provides additional insight into our efforts to steward your capital in a responsible manner.

We look forward to sharing more details about the market, the portfolio, and our plans for the Fund XII fundraise at our Investor Conference in Houston on November 7th and 8th. In the meantime, if there is anything you need or if you would like to schedule an update call to review the upstream market, please do not hesitate to reach out.

Best regards,



Jason M. DeLorenzo
Managing Partner



Douglas E. Swanson, Jr.
Managing Partner

This update (the “Update”) has been prepared by EnCap Investments L.P. (“EnCap”) and is being delivered for informational purposes only to current investors in existing funds managed by EnCap. The information contained in this Update is subject to the confidentiality provisions of the governing agreement for the EnCap fund in which each such investor is a limited partner. Any reproduction or distribution of the Update, in whole or in part, or the disclosure of any portion of its contents, without the prior written consent of EnCap, is strictly prohibited. By accepting delivery of the Update, each recipient agrees to the foregoing and acknowledges on behalf of itself and its affiliates the following restrictions, limitations and qualifications.

The distribution of the Update does not constitute an offer to sell or a solicitation of an offer to buy interests in any fund managed or sponsored by EnCap, and shall not be deemed to be any such offer or solicitation. Any such offer or solicitation will be made only pursuant to a final confidential private placement memorandum of such fund including any supplements thereto (collectively, the “PPM”), which will describe the terms and conditions of, and certain risks related to, an investment in such fund, such fund’s subscription documents, and all applicable private placement rules and regulations. The information contained in the Update will be superseded by, and is qualified in its entirety by reference to, the relevant PPM which should be read carefully prior to an investment in such fund. The Update is not intended to, and does not, include all information necessary to make the statements herein not misleading. An investment in an EnCap fund entails a high degree of risk and no assurance can be given that such fund’s investment objectives will be achieved or that investors will receive a return of their capital.

Certain information contained herein has been obtained from published or unpublished sources prepared by other parties not affiliated with EnCap. Neither EnCap nor its affiliates have verified any finding in the information attributed to a third-party herein and recipients of the Update should make their own independent investigations and evaluations of any such information. Any projections, forecasts and estimates and illustrative case studies contained in the Update are necessarily speculative in nature and are based upon certain assumptions, and are provided for illustrative purposes only. It can be expected that some or all of such assumptions will not materialize or will vary significantly from actual results. Accordingly, any projections are only estimates and actual results will differ and may vary substantially from the projections or estimates shown. The recipient should not rely on, and EnCap expressly disclaims any representations or warranties as to, the projections, forecasts, estimates and case studies contained in the Update.

The statements made in the Update are as of 9/8/2022 and EnCap does not undertake any obligation to update the information contained herein or the assumptions on which such information was based in light of later events, developments or circumstances. EnCap and its affiliates make no representations or warranties, express or implied, as to the accuracy or completeness of any information contained in the Update and expressly disclaim any responsibility or liability for any loss or damage suffered or incurred by the recipient or any other person or entity (whether direct, indirect, consequential, reasonably foreseeable or otherwise) however caused (including but not limited to negligence) in connection with the information contained herein or the authenticity, accuracy, or completeness of such information. The recipient hereby acknowledges EnCap’s disclaimer of liability and on behalf of itself and its affiliates expressly releases EnCap and its affiliates and representatives, from any liability, loss or damage.